

Because of the tax consequences, you should avoid borrowing from your 401(k) if possible. Your repayments are not tax-sheltered. They're made with after-tax money. If your monthly payment is \$200 and you're in the 28 percent federal tax bracket and a 6 percent state tax bracket, you'd have to make \$303 to net enough to make the payment. Worse, when you retire and take withdrawals, you pay taxes on that money again. You should also avoid borrowing from your 401(k) because of opportunity costs. The money that you borrow could be earning interest or appreciating if left in your plan.